



Bill Number: S.B. 1419

Carroll Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg Council

FLOOR AMENDMENT EXPLANATION

1. Removes the requirement that an individual who is a licensed solar contractor and who had a disciplinary action within the previous two years obtain a third-party inspection to verify that the installation complies with the applicable safety standards, workmanship and other prescribed standards.
2. Requires a licensed solar contractor to evaluate and verify the structural integrity of the roof and roofing components before installing a solar energy device.
3. Deems that the licensed solar contractor, upon installation of a solar energy device, has accepted the surface of the roof for the purposes of installation and is responsible for repairs to the roof that are caused by the installation.
4. Modifies the list of what must be included in an agreement governing the financing, sale or lease of a distributed energy generation system to any person or political subdivision of Arizona.
5. Reinstates the statutorily prescribed requirement that a document or sales presentation relating to a distributed energy generation system that contains an estimate of the buyer's or lessee's future utility charges based on projected utility rates contain an estimate of the buyer's or lessee's future utility charges as impacted by potential utility rate changes.
6. Requires the licensed solar contractor, before entering into a contract for the purchase or lease of a residential solar energy system, to obtain a written acknowledgment from the buyer or lessee stating that the buyer or lessee understands that the roofing materials or the structure may require repair or replacement before the purchase or lease agreement term expires.
7. Removes the prohibition on a contractor or the agent of a contractor for a distributed energy generation system from making a written or oral statement regarding any estimated savings that the buyer or lessor may receive.
8. Makes conforming changes.

CARROLL FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1419
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 44-1761, Arizona Revised Statutes, is amended to
3 read:

4 44-1761. Definitions

5 In this article, unless the context otherwise requires:

6 1. "Collector" means a component of a solar energy device that is
7 used to absorb solar radiation, convert it to heat or electricity and
8 transfer the heat to a heat transfer fluid or to storage.

9 2. "Distributed energy generation system":

10 (a) Means a device or system that is used to generate or store
11 electricity, that has an electric delivery capacity, singly or in
12 connection with other similar devices or systems, greater than one
13 kilowatt or one kilowatt-hour, and that is primarily for on-site energy
14 consumption.

15 (b) Does not include an electric generator that is intended for
16 occasional use.

17 3. "Energize" or "energized" means that the distributed energy
18 generation system is installed and operational for its intended purposes
19 of generating or storing electricity.

20 4. "Heat exchanger" means a component of a solar energy device that
21 is used to transfer heat from one fluid to another.

22 5. "Interconnected" or "interconnection" means a distributed energy
23 generation system that is connected to the power grid and that is able to
24 transfer electricity to the power grid.

25 6. "Seller or marketer" means an individual or a company acting
26 through its officers, employees or agents that markets, sells or solicits
27 the sale, financing or lease of distributed energy generation systems or
28 negotiates or enters into agreements for the sale, financing or lease of
29 distributed energy generation systems.

1 7. "Solar daylighting" means a device that is specifically designed
2 to capture and redirect the visible portion of the solar beam spectrum,
3 while controlling the infrared portion, for use in illuminating interior
4 building spaces in lieu of artificial lighting.

5 8. "Solar energy device":

6 (a) Means a system or series of mechanisms that is designed
7 primarily to provide heating, to provide cooling, to produce electrical
8 power, to produce mechanical power, to provide solar daylighting or to
9 provide any combination of the foregoing by means of collecting and
10 transferring solar generated energy into such uses either by active or
11 passive means. Such systems may also have the capability of storing such
12 energy for future utilization. Passive systems shall clearly be designed
13 as a solar energy device such as a trombe wall and not merely a part of a
14 normal structure such as a window. **FOR THE PURPOSES OF THIS SUBDIVISION,**
15 **"TROMBE WALL" MEANS A MASSIVE EQUATOR-FACING WALL THAT IS PAINTED IN A**
16 **DARK COLOR TO ABSORB THERMAL ENERGY FROM INCIDENT SUNLIGHT.**

17 (b) Includes a distributed energy generation system.

18 ~~[9. "THIRD-PARTY INSPECTION" MEANS AN INSPECTION CONDUCTED BY A~~
19 ~~LICENSED PROFESSIONAL WHO IS:~~

20 ~~(a) NOT AFFILIATED WITH OR EMPLOYED BY A CONTRACTOR OR AN~~
21 ~~INSTALLER.~~

22 ~~(b) AUTHORIZED TO EXAMINE AND CERTIFY THAT A ROOF, HOME OR SOLAR~~
23 ~~SYSTEM COMPLIES WITH ALL OF THE FOLLOWING AS DETERMINED BY THE CHIEF~~
24 ~~BUILDING OFFICIAL OR THE AUTHORITY THAT HAS JURISDICTION:~~

25 ~~(i) APPLICABLE BUILDING CODES.~~

26 ~~(ii) SAFETY STANDARDS.~~

27 ~~(iii) WORKMANSHIP AND PERMIT REQUIREMENTS.]~~

28 Sec. 2. Section 44-1762, Arizona Revised Statutes, is amended to
29 read:

30 44-1762. Solar energy device warranties; installation
31 standards; inspections

32 A. The collectors, heat exchangers and storage units of a solar
33 energy device that is sold or installed in this state or leased or
34 financed under an agreement pursuant to section 44-1763, and the
35 installation of the solar energy device, shall be warranted for a period
36 of at least two years or shall include an energy production output
37 guarantee provided pursuant to section 44-1763, subsection A, paragraph 4.
38 The remaining components of the solar energy device and their installation
39 shall be warranted for a period of at least one year.

40 B. Any person who manufactures, furnishes for installation or
41 installs a solar energy device shall provide with the **SOLAR ENERGY** device
42 a written statement of warranty, responsibilities assumed or disclaimed
43 and performance data of the solar energy device and components of the
44 solar energy device as prescribed by section 44-1763 as part of the
45 agreement for the financing, sale or lease of a solar energy device. The
46 form of the statement required by this subsection is subject to approval
47 by the registrar of contractors. The statement shall specify the source

1 of any performance data it contains. A copy of the statement shall be
2 delivered to the registrar of contractors where it shall be kept on public
3 file.

4 C. A person who sells a solar energy device in this state shall
5 furnish a certificate to the buyer that the solar energy device complies
6 with the requirements of this section.

7 D. A solar energy device that is sold or installed in this state
8 shall comply with all applicable state and federal consumer protection,
9 rating, certification, performance, marking, installation and safety
10 standards that are required by section 44-1763.

11 E. An individual who installs a solar energy device in this state,
12 in addition to being a licensed solar contractor under title 32, chapter
13 10, article 4, shall:

14 1. Possess the general license that is appropriate to the type of
15 solar energy device that is installed. Installers of a solar water heater
16 or a photovoltaic device shall possess an appropriate contractor's
17 license.

18 2. Meet any education and training standards that have been adopted
19 by the registrar of contractors.

20 3. Pass an examination on the installation of the type of SOLAR
21 ENERGY device to be installed, if the registrar of contractors has adopted
22 such an examination.

23 ~~4. OBTAIN A THIRD-PARTY INSPECTION VERIFICATION AS REQUIRED IN~~
24 ~~SUBSECTION I OF THIS SECTION, IF APPLICABLE.]~~

25 F. Solar energy devices that are designed or installed by the final
26 owner are exempt from the requirements of subsections A through E of this
27 section.

28 G. The installation of a solar energy device shall meet the
29 requirements of:

30 1. All applicable fire, safety[, WIND, LOAD, STRUCTURAL, SEISMIC]
31 and building codes AS PRESCRIBED BY A LOCAL AUTHORITY THAT HAS
32 JURISDICTION.

33 2. Consumer protection standards REQUIREMENTS, including any freeze
34 protection and temperature related damage standards.

35 3. A MANUFACTURER'S INSTALLATION REQUIREMENTS.

36 ~~3.~~ 4. All other applicable federal, state and local laws.

37 H. Contractors who fail to meet safety, installation or other
38 prescribed standards or the requirements of section 44-1763 are subject to
39 disciplinary action under title 32, chapter 10, article 3.

40 ~~[I. AN INDIVIDUAL WHO IS A LICENSED SOLAR CONTRACTOR PURSUANT TO~~
41 ~~TITLE 32, CHAPTER 10, ARTICLE 4 AND WHO HAD A DISCIPLINARY ACTION WITHIN~~
42 ~~THE PREVIOUS TWO YEARS SHALL OBTAIN A THIRD-PARTY INSPECTION TO VERIFY~~
43 ~~THAT THE INSTALLATION COMPLIES WITH THE APPLICABLE SAFETY STANDARDS,~~
44 ~~WORKMANSHIP AND OTHER PRESCRIBED STANDARDS PURSUANT TO THIS ARTICLE. THE~~
45 ~~LICENSED SOLAR CONTRACTOR SHALL PROVIDE A COPY OF THE THIRD-PARTY~~
46 ~~INSPECTION REPORT TO THE INDIVIDUAL WHO BOUGHT, FINANCED OR LEASED THE~~
47 ~~SOLAR ENERGY DEVICE. IF A THIRD-PARTY INSPECTOR IDENTIFIES ANY DEFICIENCY~~

~~1 IN THE INSTALLATION OF THE SOLAR ENERGY DEVICE, THE LICENSED SOLAR
2 CONTRACTOR SHALL CORRECT THE DEFICIENCIES, AND FAILURE TO CORRECT THE
3 DEFICIENCIES IS SUBJECT TO DISCIPLINARY ACTION.]~~

~~4 [I. A LICENSED CONTRACTOR SHALL EVALUATE AND VERIFY THE STRUCTURAL
5 INTEGRITY OF THE ROOF AND ROOFING COMPONENTS BEFORE INSTALLING A SOLAR
6 ENERGY DEVICE. BY INSTALLING A SOLAR ENERGY DEVICE, THE LICENSED
7 CONTRACTOR IS DEEMED TO HAVE ACCEPTED THE SURFACE OF THE ROOF FOR THE
8 PURPOSES OF INSTALLATION AND IS RESPONSIBLE FOR REPAIRS TO THE ROOF THAT
9 ARE CAUSED BY THE INSTALLATION. A CONTRACTOR WHO DOES NOT COMPLY WITH
10 THIS SUBSECTION IS SUBJECT TO DISCIPLINARY ACTION UNDER TITLE 32, CHAPTER
11 10, ARTICLE 3.]~~

12 Sec. 3. Section 44-1763, Arizona Revised Statutes, is amended to
13 read:

14 44-1763. Distributed energy generation system agreements;
15 disclosures; residential solar energy systems;
16 exception

17 A. An agreement governing the financing, sale or lease of a
18 distributed energy generation system to any person or a political
19 subdivision of this state must:

20 1. Be signed by the person buying, financing or leasing the
21 distributed energy generation system and must be dated. Any agreement
22 that contains blank spaces affecting the timing, value or obligations of
23 the agreement in a material manner when signed by the buyer or lessee is
24 voidable at the option of the buyer or lessee until the distributed energy
25 generation system is installed. Any blank spaces in the agreement must be
26 shown to and initialed by the buyer or lessee at the time the buyer or
27 lessee signs the agreement.

28 2. Be in at least ten-point type.

29 3. Include a provision, which must be separately acknowledged by
30 the buyer or lessee, granting the buyer or lessee the right to rescind the
31 financing, sale or lease agreement for a period of not less than three
32 business days after the agreement is signed by the buyer or lessee and
33 before the distributed energy generation system is installed.

34 4. Provide a description, which must be separately acknowledged by
35 the buyer or lessee, including the make and model of the distributed
36 energy generation system's major components or a guarantee concerning
37 energy production output that the distributed energy generation system
38 being sold or leased will provide over the life of the agreement. If the
39 warranty period for any major component is less than the duration of the
40 agreement, the length of the warranty must be disclosed to and separately
41 acknowledged by the buyer or lessee **AND BE WRITTEN IN BOLD TYPE AND**
42 **SEPARATELY INITIALED BY THE BUYER OR LESSEE.**

~~43 [5. INCLUDE A WRITTEN DESCRIPTION THAT IS COMMUNICATED IN CLEAR AND
44 EASILY UNDERSTANDABLE LANGUAGE AND THAT IS SEPARATELY ACKNOWLEDGED BY THE
45 BUYER OR LESSEE BEFORE THE DISTRIBUTED ENERGY GENERATION SYSTEM IS
46 INSTALLED. THE WRITTEN DESCRIPTION MUST INCLUDE BOTH:~~

1 ~~(a) THE CURRENT CONDITION OF THE EXISTING ROOF AND THE ROOFING~~
2 ~~COMPONENTS.~~

3 ~~(b) THE ESTIMATED TOTAL COST OF REMOVAL AND REINSTALLATION OF THE~~
4 ~~DISTRIBUTED ENERGY GENERATION SYSTEM.~~

5 ~~6. INCLUDE A COPY OF THE WRITTEN REPORT BY THE LICENSED CONTRACTOR~~
6 ~~TO THE BUYER OR LESSEE. THE LICENSED CONTRACTOR WHO DRAFTED THE REPORT~~
7 ~~MAY NOT BE AFFILIATED WITH OR EMPLOYED BY THE CONTRACTOR OR INSTALLER.~~
8 ~~THE WRITTEN REPORT MUST INCLUDE AN EVALUATION OF THE CURRENT CONDITION OF~~
9 ~~THE ROOF AND THE ROOFING COMPONENTS AND CLEARLY STATE IN WRITING WHETHER~~
10 ~~THE ROOF AND THE ROOFING COMPONENTS WILL REMAIN SERVICEABLE FOR AT LEAST~~
11 ~~THE FULL DURATION OF THE AGREEMENT. THE BUYER OR LESSEE SHALL ACKNOWLEDGE~~
12 ~~RECEIPT OF THE WRITTEN REPORT BEFORE THE DISTRIBUTED ENERGY GENERATION~~
13 ~~SYSTEM IS INSTALLED.]~~

14 ~~[5.] [7.]~~ Separately set forth the following items **IN BOLD TYPE**,
15 which must be separately acknowledged **AND INITIALED** by the buyer or
16 lessee, if applicable:

17 (a) The total purchase price or total cost to the buyer or lessee
18 under the agreement for the distributed energy generation system over the
19 life of the agreement.

20 (b) Any interest, installation fees, document preparation fees,
21 service fees or other costs to be paid by the buyer or lessee of the
22 distributed energy generation system.

23 (c) If the distributed energy generation system is being financed
24 or leased, the total number of payments, the payment frequency, the amount
25 of the payment expressed in dollars and the payment due date.

26 ~~[6.] [8.]~~ Provide a disclosure in the sale and financing
27 agreements, to the extent they are used by the seller or marketer in
28 determining the purchase price of the agreement, that identifies all
29 current tax incentives and rebates or other state or federal incentives
30 for which the buyer or lessee may be eligible and any conditions or
31 requirements pursuant to the agreement to obtain these tax incentives,
32 rebates or other incentives.

33 ~~[7.] [9.]~~ Identify the tax obligations that the buyer or lessee
34 may be required to pay as a result of buying, financing or leasing the
35 distributed energy generation system, including:

36 (a) The assessed value and the property tax assessments associated
37 with the distributed energy generation system calculated in the year the
38 agreement is signed.

39 (b) Transaction privilege taxes that may be assessed against the
40 person buying or leasing the distributed energy generation system.

41 (c) Any obligation of the buyer or lessee to transfer tax credits
42 or tax incentives of the distributed energy generation system to any other
43 person.

44 ~~[8.] [10.]~~ Disclose whether the warranty or maintenance
45 obligations related to the distributed energy generation system may be
46 sold or transferred to a third party.

1 ~~[9.]~~ ~~[11.]~~ Include a disclosure, the receipt of which shall be
2 separately acknowledged by the buyer or lessee, if a transfer of the sale,
3 lease or financing agreement contains any restrictions pursuant to the
4 agreement on the lessee's or buyer's ability to modify or transfer
5 ownership of a distributed energy generation system, including whether any
6 modification or transfer is subject to review or approval by a third
7 party. If the modification or transfer of the distributed energy
8 generation system is subject to review or approval by a third party, the
9 agreement must identify the name, address and telephone number of, and
10 provide for updating any change in, the entity responsible for approving
11 the modification or transfer.

12 ~~[10.]~~ ~~[12.]~~ Include a disclosure, the receipt of which shall be
13 separately acknowledged by the buyer or lessee, if a modification or
14 transfer of ownership of the real property to which the distributed energy
15 generation system is or will be affixed contains any restrictions pursuant
16 to the agreement on the lessee's or buyer's ability to modify or transfer
17 ownership of the real property to which the distributed energy generation
18 system is installed or affixed, including whether any modification or
19 transfer is subject to review or approval by a third party. If the
20 modification or transfer of the real property to which the distributed
21 energy generation system is affixed or installed is subject to review or
22 approval by a third party, the agreement must identify the name, address
23 and telephone number of, and provide for updating any change in, the
24 entity responsible for approving the modification or transfer.

25 ~~[11.]~~ ~~[13.]~~ Provide a full and accurate summary of the total costs
26 under the agreement for maintaining and operating the distributed energy
27 generation system over the life of the distributed energy generation
28 system, including financing, maintenance and construction costs related to
29 the distributed energy generation system, **THAT MUST BE ACKNOWLEDGED AND**
30 **INITIALED BY THE BUYER OR LESSEE.**

31 ~~[12. If the agreement contains an estimate of the buyer's or~~
32 ~~lessee's future utility charges based on projected utility rates, provide~~
33 ~~an estimate of the buyer's or lessee's future utility charges as impacted~~
34 ~~by potential utility rate changes ranging from at least a five percent~~
35 ~~annual decrease to at least a five percent annual increase from current~~
36 ~~utility costs applied to the duration of the agreement in one percent~~
37 ~~increments. any comparative estimates must be calculated by applying the~~
38 ~~entire rate change range to the duration of the agreement.] [THE AGREEMENT~~
39 ~~MUST SUBSTANTIATE THE METHODOLOGY THAT WAS USED TO CALCULATE THE UTILITY~~
40 ~~CHARGES AND COMPARATIVE ESTIMATES.]~~

41 ~~[13.]~~ ~~[14.]~~ Include a disclosure **THAT IS WRITTEN IN BOLD TYPE AND**
42 **ALL CAPITAL LETTERS**, the receipt of which shall be separately acknowledged
43 by the buyer or lessee, that states:

44 Utility rates and utility rate structures are subject to
45 change. These changes cannot be accurately predicted.
46 Projected savings from your distributed energy generation
47 system are therefore subject to change. Tax incentives are

1 subject to change or termination by executive, legislative or
2 regulatory action.

3 [14.] ~~[15.]~~ Comply with section 32-1158.

4 [B. If a document or sales presentation relating to a distributed
5 energy generation system states or suggests that the distributed energy
6 generation system will result in financial savings for a buyer or lessee,
7 the document or sales presentation must substantiate the methodology used
8 to calculate those savings and, if the document or sales presentation is
9 intended for a specific potential buyer or lessee, reasonably quantify the
10 cumulative savings expected for the duration of the agreement.]

11 ~~[B. A CONTRACTOR OR THE AGENT OF A CONTRACTOR FOR A DISTRIBUTED~~
12 ~~ENERGY GENERATION SYSTEM MAY NOT MAKE A WRITTEN OR ORAL STATEMENT~~
13 ~~REGARDING ANY ESTIMATED SAVINGS THAT A BUYER OR LESSOR MAY RECEIVE.]~~

14 [C. If a document or sales presentation relating to a distributed
15 energy generation system contains financial savings comparative estimates
16 or utility rate comparative estimates, the document or sales presentation
17 must include historical utility rates for the immediately preceding period
18 of time that is of the same duration as the proposed financing or lease
19 period for the same class of utility customer in the same utility service
20 territory as the prospective buyer or lessee. These historical rates must
21 be included in any comparative estimates.] [THE AGREEMENT MUST
22 SUBSTANTIATE THE METHODOLOGY THAT WAS USED TO CALCULATE FINANCIAL SAVINGS
23 OR UTILITY RATE COMPARATIVE ESTIMATES.]

24 [D.] ~~[E.]~~ Before the maintenance or warranty obligations of a
25 distributed energy generation system under an existing lease, financing or
26 purchase agreement is transferred, the person who is currently obligated
27 to maintain or warrant the distributed energy generation system must
28 disclose the name, address and telephone number of the person who will be
29 assuming the maintenance or warranty of the distributed energy generation
30 system.

31 [E. If a document or sales presentation relating to a distributed
32 energy generation system contains an estimate of the buyer's or lessee's
33 future utility charges based on projected utility rates, the document or
34 sales presentation must contain an estimate of the buyer's or lessee's
35 future utility charges as impacted by potential utility rate changes
36 ranging from at least a five percent annual decrease to at least a five
37 percent annual increase from current utility costs applied to the duration
38 of an agreement for the financing, sale or lease of a distributed energy
39 generation system in one percent increments. Any comparative estimates
40 must be calculated by applying the entire rate change range to the
41 duration of the agreement.] [THE AGREEMENT MUST SUBSTANTIATE THE
42 METHODOLOGY THAT WAS USED TO ESTIMATE THE UTILITY CHARGES BASED ON UTILITY
43 RATES.]

44 [F.] ~~[D.]~~ Recurring payments under a distributed energy generation
45 system lease may not begin until the distributed energy generation system
46 is APPROVED BY A LOCAL UTILITY, energized and interconnected.

1 [G. BEFORE ENTERING INTO A CONTRACT FOR THE PURCHASE OR LEASE OF A
2 RESIDENTIAL SOLAR ENERGY SYSTEM, THE LICENSED CONTRACTOR SHALL OBTAIN A
3 WRITTEN ACKNOWLEDGMENT FROM THE BUYER OR LESSEE STATING THAT THE BUYER OR
4 LESSEE UNDERSTANDS THAT THE ROOFING MATERIALS OR THE STRUCTURE MAY REQUIRE
5 REPAIR OR REPLACEMENT BEFORE THE PURCHASE OR LEASE AGREEMENT TERM EXPIRES.
6 THE WRITTEN ACKNOWLEDGMENT SHALL INCLUDE A CLEAR AND CONSPICUOUS
7 DISCLOSURE THAT STATES BOTH OF THE FOLLOWING:

8 1. UNLESS IT IS DETERMINED BY THE REGISTRAR OF
9 CONTRACTORS THAT THE ROOFING DAMAGE IS CAUSED AS THE RESULT OF
10 THE LICENSED CONTRACTOR'S INITIAL INSTALLATION OF THE SOLAR
11 ENERGY SYSTEM, ANY REPAIR OR REPLACEMENT OF ROOFING MATERIALS
12 THAT BECOMES NECESSARY DURING THE TERM OF THE PURCHASE OR
13 LEASE AGREEMENT IS THE RESPONSIBILITY OF THE BUYER OR LESSEE
14 FOR ALL COSTS ASSOCIATED WITH THE REMOVAL AND REINSTALLATION
15 OF THE SOLAR ENERGY SYSTEM AND THE ROOF AND ROOFING MATERIALS
16 IF THE REPAIR OR REPLACEMENT IS NOT THE RESULT OF A VIOLATION
17 OF A LOCAL, STATE OR FEDERAL LAW.

18 2. THE REMOVAL AND REINSTALLATION OF THE SOLAR ENERGY
19 SYSTEM MAY VOID OR OTHERWISE AFFECT ANY MANUFACTURER OR
20 INSTALLER WARRANTY AND MAY LIMIT OR ELIMINATE THE LIABILITY OF
21 THE ORIGINAL INSTALLATION CONTRACTOR.]

22 [H.] ~~[F.]~~ This section does not apply to an individual or company,
23 acting through its officers, employees or agents, that markets, sells,
24 solicits, negotiates or enters into an agreement for the sale, financing
25 or lease of a distributed energy generation system as part of a
26 transaction involving the sale or transfer of the real property to which
27 the distributed energy generation system is or will be affixed.

28 Enroll and engross to conform
29 Amend title to conform

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